

OFFICIAL COPY

SPX MASTERCLASS II

DIESEL TRADES

17 SEP 2023

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Overview

- Welcome to the second installment to the SPX Masterclass
- The will roughly go on for 2 hours - buckle up. I will allocate time for breaks.
- Taking notes is strongly encouraged, but after the class, this powerpoint is yours.
- Asking questions is encouraged. Please don't hesitate to unmute yourself, or type in the VC. I'll be monitoring at all times.
- No need to record, I'll be recording this class and giving it out after the class.

What We're Covering

- Chart Prep (additional plotting)
- Utilizing Key price Areas (PDL/PDH, Liquidity levels, News, Combinations)
- More entry techniques (open, lunch, EOD, swings)
- News swings
- Post Momentum Plays
- SPX Contract Identification (In depth straddle analysis)
- Contract considerations (how to not lose money right away)
- Live Q+A

PRIOR DAY LOWS / HIGHS

PDL/PDH

- PDL/PDH is a tool I use regularly to snipe those longer intraday plays. Without a “5 star setup”
- Utilizing PDH/PDL can also help prevent getting into plays that may seem like a high probability win. (example later)
- SMA crossover technique may be skewed in this area, you may have seen it a few times.
- Consolidation @ PDH/L may be a continuation in that direction, however, a crossover with no continuation may be a reversal (example later)
- Solidified MA trends make it easier to see general market direction

PDL/PDH

- When utilizing PDL/H, you want to treat those as a liquidity level. That should be treated as a trimming point / PT.
- PDH/L is also a good retest PT once you crossover outside from those zones.
- Playing PDH/L on market open does not yield the best results, always keep an eye on volume. If it is unusually high, let a retest happen then utilize the strat.
- Playing PDH/L works better in late morning / early afternoon settings. Market open and EOD PA can skew significant price areas. Not to mention news as well.
- Solidified MA trends make it easier to see general market direction

PDL/PDH

- Another great way to use PDH/L is to check intraweek to see if theres significant price rejection / support in the time frame. This gives additional PTs.
- I personally use PDL/H for playing intraday breakouts that do not necessarily provide setups that I would typically play.
- Risk can be moderate to high depending on contract choice.
- Setting stop losses with PDH/L plays should be utilized with liquidity zones.

Looking for setups



Consolidation Play



NEWS TRADING

News

- News is always risky as hell, you should never be full positioned due to the nature of the beast.
- However, if and when you do trade news, do it confidently.
- News that you should be weary of are: CPI/PPI/FOMC
- Fed speakers can give great hints during their speeches, you can watch recaps on youtube and market watch to see where they stand before big news events

News

- Those speeches can bring out a ton of hints and tells. Especially since most of these guys and gals know exactly where we are headed.
- If speeches are more of a “we need to fix, we need to cut, we spent too much, consumers didn’t spend enough so we’re going to do ____” then numbers did not meet expectations. Or they are preparing for it.
- On the contrary, “we are optimistic, we’re doing great, right direction, people are spending, business is booming, etc. Is good news for us.
- Besides speeches, you can infer how the market has been doing by looking at DXY/Consumer Staples/Materials for the news period. These give an excellent inclination to how we’ve been doing to give you a better sentiment.

News

- On larger news days, and even the day prior. It is not wise to trade unless you are prepared for a high risk trade. Sometimes not trading is trading.
- When trading news, it works best to trade with closer ITM contracts, though they are extremely expensive. Smaller ports stick with SPY.
- There will be mad consolidation before news. The lower the volume, the more anticipation retail / industrial traders will have so expect bigger moves.
- Trading hours before a news event starts to catch a move will hurt you more due to the abnormally high OI/IV/Theta of those contracts. Even if you are right, you may still be red.

News Trading Final

- There is news almost every single day. Do not be discouraged, or do not try to guess every single event. Most events are not big enough to impact the Market significantly.
- Best way to see if news will effect us heavily is to also watch DXY.
- Earnings reports may also impact the market depending on frequency and ticker. It is best to look at past historics to see the trend that company is facing. You can also utilize fundamental analysis for the said companies.

INTRADAY ANALYSIS

Intraday Analysis

- You may have seen the options straddle I posted in SPX1.
- I will be going more in depth on how we identify contracts along with PTs
- I will also provide the reasonings why I choose to trade/not to trade during certain hours of the day.

Intraday Analysis (Morning)

- Market open has a ton of volume, (of course)
- A lot of people tend to force trades because they are able to finally trade, do not do this. Play your setups and your strategy.
- I love a good gap up / gap down open. Those tend to fill fast. If we continue into a break out, I do not and will not trade. If the morning is one trend, I tend to not play since I mostly look for reversals, and theta kicks in the more the trend is respected.
- If I miss the gap fill, or first trend, I will always look for that reversal or pullback (even if small)

Intraday Analysis (Morning)

- It is safe to go up to 6 cons OTM reasonably. I like to trade around the .8 to 1.3 dollar mark on contracts.
- They're cheap enough to follow, you can buy larger quantities which gives you controlled trims, and the more it reaches ITM, the more you end up making. Think of it as buying something before it is trendy like nikes or something. You'll be at the party seated early.
- Again, do not force a trade. If you miss the pullback, or gap fill, play your strat how you play it. Do not force a trade or be discouraged if you have 0 trades for the day in the morning.

Intraday Analysis (Lunch)

- No

Intraday Analysis (Afternoon)

- I tend to hop back on the charts about 1pm EST. The post lunch breakout typically has bullish volume as MMs come back into the market.
- I limit myself to 3-4 cons OTM on SPX. Keeping the same price range.
- This is where I play the SPX1 strat the heaviest. This is also where PDH/L rejections and continuations hit the most.
- The hardest day to trade with this strategy is on trend days. The stars align for a reversal, just to catch fake outs. If you catch yourself being faked out, play a breakout + 1 candle to minimize risk.

Intraday Analysis (EOD)

- SPX is a wild dog in EOD. That's where my biggest plays come in.
- I am 1-2 cons OTM at all times. Please do not hold on to .05 contracts.
- 3:30pm EST is usually the last volume rush before market close.
- This is where trendline and candlestick trading come in the most. You want to play candle scalps and not look for the big 5 star setups. They typically are not respected due to sporadic market volatility.

SWINGS

SPX Swing Trading

- Play the original 5 star strategy. But be cautious.
- I play SPX swings if I am anticipating a gap up or down opening.
- CPI/Consumer sentiment is a great swing lotto news event since it starts before market open.
- Again, check historical data, DXY, consumer staples, and past numbers. Politics play a huge bid in this as well.

SPX Swing Trading

- Another lotto swing I like to call is a trend day + MA Crossover on larger timeframes (15m/30m/1hr).
- We can utilize the RSI + Volume + MA Crossover
- CPI/Consumer sentiment is a great swing lotto news event since it starts before market open.
- Low volume days in succession could be an indicator for a reversal.

SPX Swing Trading

- As you can tell, the MA crossovers and trends are more profound.
- Trendline rejections are more likely to happen on a larger level.
- I will call swings within the last hour of the previous day if smaller trends are looking to be broken (will go back a slide so you can identify.)
- With these trades, my main strategy is to buy market close, sell market open. It is easy to get greedy with swings since they have the potential to yield high gains. Do not get sucked into it. 20/30/40% gainers are AMAZING. Take your money and play with runners.

GETTING THOSE DEMON SPEED FILLS

Filling Contracts

- So there are plenty of times where you may feel like I alert too fast, or you didn't get the fill I did.
- Besides market timing, and your timing, there are ways you can tweak that
- Remember when I said to set your PTs? 10/20/runner rule to be specific.
- One of my main strategies to get controlled fills (on selling) is to create limit sell orders for my PTs before it even reaches there.

Filling Contracts

- For instance. Let's say I buy 10 contracts at \$1.0 on SPX.
- RIGHT AWAY, I create a sell order for 3 contracts for \$1.15. They will fill on their own.
- Now, I won't get sucked into the PnL, I can watch the charts and not panic sell when my TP hits.
- Higher conviction plays, I will create multiple sell orders with various PTs such as 1.25 / 1.4 and then keep runners.
- If your play works extra in your favor such as a +400% or something, do not let it skew your baseline PTs. Let your runners cook, do not get false hope and set abnormally high PT fills for your baseline.

Filling Contracts

- Stoplosses happen, we do not have a 100% win rate. If someone says they have a 90%+ WR and is a high frequency trader, let me know so I can expose that ass.
- If and when you SL is hit (Because it will happen). Cancel your limit sell orders and sell them all in one go. It may feel irregular to do so, however, practice on paper and stay true to your stops. You'll get them next time.
- Never marry a play. <-----

**ANY QUESTIONS?
DRAWING BOARD NEXT.
WITH ADDITIONAL
EXAMPLES.**